



ATHI RIVER MINING LIMITED

AUDITED GROUP RESULTS FOR THE YEAR ENDED DECEMBER 31, 2011

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME	FOR THE YEAR ENDED 31.12.2011	FOR THE YEAR ENDED 31.12.2010	
	Ksh.'000	Ksh.'000	% INCREASE
Turnover	8,180,992	5,964,670	37%
Profit Before Tax	1,362,912	1,112,962	22%
Taxation	(212,414)	(37,694)	464%
Profit for the year	1,150,498	1,075,268	7%
Other Comprehensive income:			
Exchange difference arising on translation of foreign operations	76,184	(12,739)	698%
Total other comprehensive income for the year	76,184	(12,739)	698%
Total comprehensive income for the year	1,226,682	1,062,529	15%
Earnings Per Share (Ksh.)	11.6	10.9	7%
Proposed Dividend Per Share (Ksh.)	2.00	1.75	

CONSOLIDATED STATEMENT OF FINANCIAL POSITION	AS AT 31.12.2011	AS AT 31.12.2010
	Ksh.'000	Ksh.'000
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	5,201,355	4,148,123
Equity attributable to equity holders of parent Company	5,998,657	4,945,425
Non - Controlling interest	103,869	(18,566)
Total Capital and reserves	6,102,526	4,926,859
Non Current Liabilities	9,993,361	8,431,581
	16,095,887	13,358,440
Assets		
Non Current Assets	16,792,719	12,324,838
Current Assets	3,723,221	4,240,061
Current Liabilities	4,420,053	3,206,459
Net Working Capital	(696,832)	1,033,602
	16,095,887	13,358,440

CONDENSED STATEMENT OF CASH FLOWS	FOR THE YEAR ENDED 31.12.2011	FOR THE YEAR ENDED 31.12.2010
	Ksh.'000	Ksh.'000
Cash Generated before working capital changes	2,170,691	1,713,082
Working capital changes	392,527	(359,956)
Cash Generated from operations	2,563,218	1,353,126
Net Interest	(444,871)	(502,687)
Dividends and Tax Paid	(246,204)	(204,770)
Net Cash from Operating Activities	1,872,143	645,669
Net Cash used in Investing Activities	(4,095,511)	(3,668,779)
Net Cash from Financing Activities	953,775	3,127,744
Increase/(Decrease) in Cash and Cash Equivalents	(1,269,593)	104,634
At start of the Period	134,788	53,127
Exchange Adjustment	(69,233)	(22,973)
At end of the Period	(1,204,038)	134,788

RESULTS 2011

The Board of Directors is pleased to announce the audited results for the Group for the year ending 31st December 2011. Group Turnover increased by 37% from Ksh. 5.96 billion in 2010 to Ksh 8.2 billion in 2011. Cement sales increased by 72% on commissioning of increased capacities which came on stream in late 2010. Group Profit before Tax increased to Ksh 1,362 million over the previous year, and net Profit for the year stood at Ksh 1,150 million, giving an Earnings per Share (EPS) of Ksh 11.6.

The prior year profit after tax has been restated upwards from Ksh 792 million to Ksh 1,074 million arising from an adjustment in deferred tax liability to recognise the impact of an amendment to the Income Tax Act in relation to investment deductions as contained in the 2009 Kenya Finance Act.

Turnover for the year 2011 increased by 37%, Earnings Before Interest, Tax, Depreciation and Amortization (EBITDA) increased by 31%, from Ksh 1.6 billion to Ksh 2.2 billion. Operating margins declined by 2% in 2011, mainly due to the rapid increases in cost of electricity, fuel, and imported spares parts, which has been subsequently restored. Total Group assets increased from Ksh 16.5 billion in 2010 to Ksh 20.5 billion in 2011.

During the year, net cash from operations of 2.04 billion, net increase in borrowings of 1 billion and decrease in cash was invested primarily in the ongoing construction of the cement plants in Tanzania.

During the year, the Kenya Shilling experienced high foreign exchange rate volatility and depreciated substantially. However, as at the year end, the trend had reversed and unrealized exchange loss stood at Ksh 118 million as against Ksh 681 million when the company reported the Group results for the 9 months as at September 30, 2011. The Kenya Shilling has strengthened again since January of 2012.

OUTLOOK 2012

The Company has recorded a strong growth in turnover in the first 2 months over the same period last year, mainly through increased export sales. The East African economies are continuing to grow briskly and demand for cement is expected to continue growing throughout the region. The Dar es Salaam cement plant is expected to contribute further growth to the company's turnover in second half of 2012.

ENVIRONMENTAL COMPLIANCE

ARM operates state of the art technology plants for manufacturing clinker and cement. The Kaloleni plant produces 450,000 tpa clinker and 350,000 tpa cement whilst the Athi River Grinding Plant has a capacity of 650,000 tpa of cement. These operations are fully compliant with environmental laws and regulations, and we continue to operate with full consideration for the communities neighbouring our operations. ARM has in the past set benchmarks in the regional cement industry, and will continue to lead by auditing and publishing the environmental compliance results on the Company's website on a regular basis.

COMMUNITY DEVELOPMENT

ARM actively participates in and promotes community development programmes around its quarrying and manufacturing operations, and in other parts of the country, through the Rhino Cement Foundation. The Foundation is funded by the Company and has a budget of approximately 2.5% of the Company's annual after tax profit. The Foundation makes high impact social investments in health, education, environment and community development projects. Some of the highlights of Rhino Cement Foundation investments include university and high school scholarships, construction and continuing support of schools, construction and maintenance of health clinics at Athi River and Kaloleni, community water projects, and continuing support for the Ngong Forest Sanctuary. Please visit our website for regular updates of the Foundation's activities, at www.armafrica.com/rcf

TANZANIA CEMENT PLANTS

The 750,000 tpa cement grinding plant at Dar es Salaam is under commissioning, and will be commercially operational by June this year. The 1,200,000 tpa clinker plant, together with a second 750,000 tpa cement grinding plant at Tanga is under construction and expected to be operational in early 2013. Both sites are on schedule and within budget.

RWANDA CEMENT PLANT

In late 2011, ARM acquired a controlling interest in a 100,000 tpa cement grinding plant in Kigali, Rwanda. The plant has already begun to contribute to our regional expansion strategy.

HUMAN CAPITAL

The Board of Directors has placed particular focus on developing and deepening the management team and human resources throughout the group companies. ARM has now become a preferred organisation to join, and is attracting the best regional talent amongst engineers, as

well as accounting, marketing and IT professionals. The Tanzania and Rwanda subsidiaries are now recruiting for such talent and details can be found on our website at www.armafrica.com/careers.

ISSUE OF US\$ 50 MILLION CONVERTIBLE LOAN NOTES TO AFRICA FINANCE CORPORATION (AFC)

ARM is growing rapidly, and by 2013, will have a regional cement capacity of 2,600,000 tpa - 1,000,000 tpa in Kenya, 1,500,000 tpa in Tanzania and 100,000 tpa in Rwanda. In order to support the company's continuing expansion initiatives across East and Southern Africa, the Company is raising a further US\$ 50 million through a convertible instrument.

In order to minimise the dilution of existing shareholders, the Company will issue convertible notes AFC at a higher price. The US\$ 50 million notes (equal to Ksh 4.2 billion) may be convertible any time during a 6 year period, at the option of the investor, at a fixed price of US\$ 3.20 per share (equal to Ksh 268 per share) into 15,625,000 new ordinary shares. This will translate to 13.62 percent of the total equity of the company on conversion of the Loan Notes. The proceeds from the issue of the convertible note will be utilized to complete ongoing projects, and to invest in a further 1,000,000 tpa clinker and cement capacity. Whilst the shareholders have already approved and authorised the directors to raise new funding through a convertible structure at the AGM held on 12 June 2007, the offer to AFC is subject to regulatory approvals.

DIVIDENDS

The Board of Directors recommends a first and final dividend of Ksh 2 per share for 2011 (Ksh 1.75 in 2010).

CLOSURE OF SHARE RESTER

The Annual General Meeting will be held at the Parklands Sports Club, Nairobi on July 24, 2012 at 2.30 pm. Subject to approval by the shareholders at the Annual General Meeting, the dividend will be paid on or about August 24, 2012 to the members on the register of members at the close of business on July 24, 2012. Accordingly, the register of members will remain closed on July 25, 2012

By Order of the Board

R. R. Vora
Company Secretary

March 27, 2012



Kaloleni clinker plant set in a biodiversity environment

“The plant which is surrounded by thousands of trees and a 5 acre tilapia filled dam has become home to many species of birds. ARM is actively promoting biodiversity at its operations and focuses on tree planting not only at the plants and quarries, but also in the surrounding communities. The company has twice been awarded the highest award by Total Eco Challenge for its work in environmental and tree planting activities in the country.”